

Diversity, Equity, and Inclusion

by Sophia



WHAT'S COVERED

In this lesson, you will begin learning about the ethical importance of diversity, equity, and inclusion. Specifically, this lesson will cover:

1. Diversity

Effective business managers in the twenty-first century need to be aware of a broad array of ethical choices they can make that affect their employees, their customers, and society as a whole. What these decisions have in common is the need for managers to recognize and respect the rights of all.

Actively supporting human **diversity** at work, for instance, benefits the business organization as well as society on a broader level. Diversity simply means that different kinds of people are represented, particularly those who have historically been marginalized or excluded. As you will see below, diversity is only a first step.

Recall the list of protected classes:

- Race
- Color
- Religion
- National origin or ancestry
- Sex (including gender, sexual orientation, and gender identity)
- Age
- Physical or mental disability
- Family status (including pregnancy)
- Veteran status
- Citizenship

We identified these earlier as groups who had special legal protections for harassment and discrimination, but the ethical (even legal) obligations are greater, taking special efforts to recruit people from diverse backgrounds and creating a talent pool that is representative of the greater community. Thus, ethical managers recognize and accommodate the special needs of employees with disabilities, show respect for workers' different faiths, appreciate and accept their differing sexual orientations and identification, and take special pains to cultivate an environment that is supportive and welcoming to all people.



While there are special legal requirements to prevent discrimination and harassment for protected groups, this is an ethical minimum. The ethical maximum would mean considering other groups that are frequently targeted by teasing but are not members of protected groups, such as people who are overweight or people from low socioeconomic backgrounds.

Diversity is not simply a box to be checked; rather, it is an approach to business that unites ethical management and high performance. Business leaders in the global economy recognize the benefits of a diverse workforce and see it as an organizational strength, not as a mere slogan or a form of regulatory compliance with the law. They recognize that diversity can enhance performance and drive innovation; conversely, adhering to the traditional business practices of the past can cost them talented employees and loyal customers.

Workplace diversity is not a new policy idea; its origins date back to the passage of the **Civil Rights Act** of 1964 (CRA). Census figures show that women made up less than 29% of the civilian workforce when Congress passed Title VII of the CRA prohibiting workplace discrimination. After passage of the law, gender diversity in the workplace expanded significantly. According to the U.S. Bureau of Labor Statistics (BLS), the percentage of women in the labor force increased from 48% in 1977 to a peak of 60% in 1999. Since the early 2000s, the percentage has held relatively steady at 57%. Over the past forty years, the total number of women in the labor force has risen from 41 million in 1977 to 71 million in 2017. The BLS projects that the number of women in the U.S. labor force will reach 92 million in 2050 (an increase that far outstrips population growth).

The statistical data show a similar trend for African American, Asian American, and Hispanic workers. Just before passage of the CRA in 1964, the percentages of minorities in the official on-the-books workforce were relatively small compared with their representation in the total population. In 1966, Asians accounted for just 0.5% of private sector employment, with Hispanics at 2.5% and African Americans at 8.2%. However, Hispanic employment numbers have significantly increased since the CRA became law; they are expected to more than double from 15% in 2010 to 30% of the labor force in 2050. Similarly, Asian Americans are projected to increase their share from 5% to 8% between 2010 and 2050.

Much more progress remains to be made, however. For example, many people think of the technology sector as the workplace of open-minded millennials. Yet Google, as one example of a large and successful company, revealed in its diversity statistics that its progress toward a more inclusive workforce may be steady, but it is very slow. Men still account for the great majority of employees at the corporation; only about 30% are women, and women fill fewer than 20% of Google's technical roles. The company has shown a similar lack of gender diversity in leadership roles, where women hold fewer than 25% of positions. Despite modest progress, an ocean-sized gap remains to be narrowed. When it comes to ethnicity, approximately 56% of Google employees are White. About 35% are Asian, 3.5% are Latino, and 2.4% are Black, and of the company's management and leadership roles, 68% are held by White people.

Google is not alone in coming up short on diversity. Recruiting and hiring a diverse workforce has been a challenge for most major technology companies, including Facebook, Apple, and Yahoo (now owned by Verizon); all have reported gender and ethnic shortfalls in their workforces.

The Equal Employment Opportunity Commission (EEOC) has made available 2014 data comparing the participation of women and minorities in the high-technology sector with their participation in U.S. private sector employment overall, and the results show the technology sector still lags. Compared with all private sector industries, the high-technology industry employs a larger share of Whites (68.5%), Asian Americans (14%), and men (64%), and a smaller share of African Americans (7.4%), Latinos (8%), and women (36%). Whites also represent a much higher share of those in the executive category (83.3%), whereas other groups hold a significantly lower share, including African Americans (2%), Latinos (3.1%), and Asian Americans (10.6%). In

addition, and perhaps not surprisingly, 80% of executives are men and only 20% are women. This compares negatively with all other private sector industries, in which 70% of executives are men and 30% are women.



LEARN MORE

Find the most current data on equal opportunity tracked by the EEOC at www.eeoc.gov/data.

Technology companies are generally not trying to hide the problem. Many have been publicly releasing diversity statistics since 2014, and they have been vocal about their intentions to close diversity gaps. More than thirty technology companies, including Intel, Spotify, Lyft, Airbnb, and Pinterest, each signed a written pledge to increase workforce diversity and inclusion, and Google pledged to spend more than \$100 million to address diversity issues.

Diversity and inclusion are positive steps for business organizations, and despite their sometimes slow pace, the majority are moving in the right direction. Diversity strengthens the company's internal relationships with employees and improves employee morale, as well as its external relationships with customer groups. Communication, a core value of most successful businesses, becomes more effective with a diverse workforce. Performance improves for multiple reasons, not the least of which is that acknowledging diversity and respecting differences is the ethical thing to do.



TRY IT

Assume you are working in recruitment for a large company that wants to increase diversity.

What are some ways you can assure that you will get more competitive applicants and that your business will be attractive to the best candidates from marginalized backgrounds?

+

Some of the reasons companies might fall short of diversity (that don't include intentional discrimination) include where they post the position, the position description, and the job interview. For example, posting the position to a variety of online job boards will be seen by more candidates than if you only post the position on the official website. Be careful of language that might exclude people. For example, some job postings describe requirements like being able to lift fifty pounds or stand for an extended period of time; this excludes qualified people with disabilities who can do the job with accommodations. A transparent and consistent interview process, such as asking interviewees the same questions and scoring against a rubric, can help check unconscious bias. Finally, a diverse search committee will help correct for unconscious bias, and make candidates feel more comfortable when they arrive for a job interview.



TERMS TO KNOW

Diversity

When different kinds of people are represented in an organization, particularly those from marginalized groups.

Civil Rights Act (CRA)

Landmark legislation in 1964 that laid the groundwork for a number of laws providing protections for people belonging to marginalized groups in the workplace.

2. Equity

Once you have an organization staffed with a diverse group of people, how do you ensure that everyone feels welcome? How do you ensure that people with marginalized identities or from historically excluded populations have full opportunity to succeed, to get promoted to leadership positions, or receive recognition?

These are thorny questions that many workplaces have grappled with in the last few decades. There are no easy answers, but there are certain core principles to keep in mind.

You may feel you treat everyone the same (and maybe you do!), but treating everybody the same way will sometimes result in reinforcing and replicating inequality and barriers to access. Imagine that your company did very well last year, and the CEO wants to hold a big celebratory dinner to thank all employees for their hard work. The dinner is scheduled, and the venue is selected. But the CEO didn't consider two important factors. The dinner is scheduled during Ramadan, so Muslim employees will be unable to actually enjoy the meal. Also, the selected venue is on the second floor of a building without an elevator, which means that employees who use a wheelchair will be excluded. All the employees are being treated equally in this situation, but the result is still unfair.

Many workplaces now distinguish between equality and equity. Equality is when all people are treated the same and are given identical access to resources and opportunities. **Equity** is when systems and organizations are set up to promote justice and fairness for all people, through recognizing that each person has different needs and providing the resources and opportunities necessary to achieve equality of outcome. Equity is also making sure that institutional barriers don't prevent participation. For example, regular Friday outings to a nearby bar excludes Muslims, both because they don't drink alcohol and because they go to mosque on Friday afternoons to observe Jumah.

You may have seen an image like this, where equality is shown as each person given the same tools, and equity as giving each person the tools to fit their needs.



However, you might ask why books are being placed out of anyone's reach in the first place.

Real equity is knowing that some people will be unable to reach books on a high shelf, and designing the space so that all users can reach all the books without assistance.



TERM TO KNOW

Equity

When systems and organizations are set up to promote justice and fairness for all people, through recognizing that each person has different needs and providing the resources and opportunities necessary to achieve equality of outcome

3. Inclusion

Diversity and equity are often grouped with **inclusion**, meaning that diverse people are not just present, but valued and respected and involved at all levels. While diversity may take special effort to hire people from across different groups, it can also happen by chance. A company may brag about their diversity, but if the marginalized groups are typically at the lower end of the company hierarchy, it is not an inclusive environment.

➞ **EXAMPLE** A hotel chain boasts of being one of the most diverse corporations in America, but a closer look reveals that while housekeeping is staffed primarily by people of color, the people in upper management are all White.

The three principles of diversity, equity, and inclusion are often combined as the acronym **DEI**, which is used in business contexts as a shorthand for these concerns. Larger companies might have a person or department who focuses specifically on issues of diversity, equity, and inclusion.

While diversity and equity are principles that apply largely to hiring, promotion, and organizational structure, inclusion is often implemented through communication. As a good business communicator, you should always strive to keep your language inclusive of your diverse teams and audiences. Even phrases that are meant to be inclusive can come up short. For example, stating that America is "a nation of immigrants" might be meant as a celebration of diversity, but the phrase excludes Native Americans, who did not immigrate but were invaded, and people descended from Africans who were kidnapped and brought to this continent against their will. Similarly, the expression "he or she" is meant to be gender inclusive, but it leaves out people who don't identify as either. Neither of these phrases are meant to do harm, but they will have an impact on people who are excluded, and it will affect the way your communications are perceived.

Diversity is an ethical minimum, and inclusion—making sure all people feel heard and have equal opportunity within the company—is the ethical maximum. Moreover, the benefits of diversity are only realized if there is also equity and inclusion. A company can't benefit from multiple perspectives unless everyone has a say.



TERMS TO KNOW

Inclusion

When people from marginalized groups are not just present, but valued and respected and involved at all levels.

DEI

Short for diversity, equity and inclusion, the term represents efforts to improve and maintain diversity, equity, and inclusion in an organization, and in some cases represents an office or person who handles complaints or takes initiatives.



SUMMARY

In this lesson, you learned about **diversity**, which is simply the presence of people from different backgrounds and from historically marginalized groups. Diversity is only a first step toward **equity**, which is understanding and adapting to people's differences so they can succeed. The end goal of diversity is **inclusion**, which means all people feel welcome at all levels and in all areas of an organization.

Source: THIS TUTORIAL HAS BEEN ADAPTED FROM OPENSTAX "BUSINESS ETHICS". ACCESS FOR FREE AT [OPENSTAX.ORG/BOOKS/BUSINESS-ETHICS/PAGES/1-INTRODUCTION](https://openstax.org/books/business-ethics/pages/1-introduction). LICENSE: [CREATIVE COMMONS ATTRIBUTION 4.0 INTERNATIONAL](https://creativecommons.org/licenses/by/4.0/).



TERMS TO KNOW

Civil Rights Act (CRA)

Landmark legislation in 1964 that laid the groundwork for a number of laws providing protections for people belonging to marginalized groups in the workplace.

DEI

Short for diversity, equity and inclusion, the term represents efforts to improve and maintain diversity, equity, and inclusion in an organization, and in some cases represents an office or person who handles complaints or takes initiatives.

Diversity

When different kinds of people are represented in an organization, particularly those from marginalized groups.

Equity

When systems and organizations are set up to promote justice and fairness for all people, through recognizing that each person has different needs and providing the resources and opportunities necessary to achieve equality of outcome.

Inclusion

When people from marginalized groups are not just present, but valued and respected and involved at all levels.